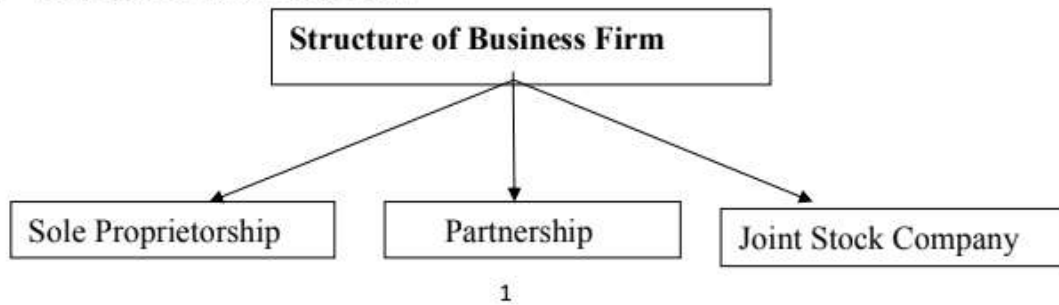


UNIT-1

Business

1. Structure of Business Firm

➤ Structure of Business Firm



1. Sole Proprietorship: 'Sole' means single and 'proprietorship' means ownership.

It means only one person or an individual becomes the owner of the business.

A business enterprise exclusively owned, managed and controlled by a single person with all authority, responsibility and risk, is known as sole proprietorship form of business organization.

Advantages of Sole Proprietorship

The sole proprietorship form of business is the most simple and common in our country. It has the following advantages:

1. Easy to Form and Wind up: A sole proprietorship form of business is very easy to form. With a very small amount of capital you can start the business. Just like formation it is also very easy to wind up the business. It is your sole discretion to form or wind up the business at any time.

2. Direct Motivation: The entire profits of the business go to sole trader. Nobody will share this reward with him. This provides strong motivation for the sole proprietor to work hard.

3. Better Control: In sole proprietorship business the proprietor has full control over each and every activity of the business. It is possible to exercise better

control over business.

4. Maintenance of Business Secrets: Business secrecy is an important factor for every business. It refers to keeping the future plans, technical competencies, business strategies, etc. In the case of sole proprietorship business, the proprietor is in a very good position to keep his plans to himself. There is no need to disclose any information to others.

5. Flexibility in Operation: The sole proprietor is free to change the nature and scope of business operations as and when required as per his decision.

➤ **Limitations of Sole Proprietorship.**

1. Limited Capital: In sole proprietorship business, it is the owner who arranges the required capital of the business. It is often difficult for a single individual to raise a huge amount of capital.

2. Unlimited Liability: In case the sole proprietor fails to pay the business obligations and debts arising out of business activities, his personal properties may have to be used to meet those liabilities.

3. Lack of Continuity: The existence of sole proprietorship business is linked to the life of the proprietor. Illness, death or insolvency of the owner brings an end to the business. The continuity of business operation is therefore uncertain.

4. Limited Size: In sole proprietorship form of business organization there is a limit beyond which it becomes difficult to expand its activities

5. Lack of Managerial Expertise: A sole proprietor may not be an expert in every aspect of management. He/she may be an expert in administration, planning, etc., but may be poor in marketing management.

2. Partnership

Indian Partnership Act, 1932, defines partnership as “a relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all”.

- Owned by **two or more persons** (maximum 50 as per new rules).
- Governed by the **Partnership Act, 1932**.

Types:

- General Partnership
- Limited Partnership

➤ Features of Partnership

1. Two or more Members: At least two members are required to start a partnership business. But the number of members should not exceed 10 in case of banking business and 20 in case of other business. If the number of members exceeds this maximum limit then that business cannot be termed as partnership business.

2. Agreement: Whenever you think of joining hands with others to start a partnership business, first of all, there must be an agreement between all of you.

3. Sharing of Profit - The main objective of every partnership firm is sharing of profits of the business amongst the partners in the agreed proportion.

4. Unlimited Liability - Just like the sole proprietor the liability of partners is also unlimited. That means, if the assets of the firm are insufficient to meet the liabilities, the personal properties of the partners, if any, can also be utilized to meet the business liabilities.

5. Restriction on Transfer of Interest - No partner can sell or transfer his interest to any one without the consent of other partners.

Advantage

- 1.Easy to form
- 2.Avaliable for large resource
- 3.Better decision
- 4.Flexibility in operation

Limitation

- 1.Unlimited liability
- 2.Limited Capital
- 3.No transferability of share

✓ 3. Joint Stock Company

- A **separate legal entity** formed under the **Companies Act, 2013**.
- Owned by shareholders.

Types:

- Private Limited Company (Pvt. Ltd.)
- Public Limited Company (Ltd.)

Advantages:

- Limited liability.
- Large capital can be raised.
- Perpetual existence.

Disadvantages:

- Complex formation.
- Regulatory compliance and auditing required.

2.Theory of firm

Theory of the firm

A firm is an entity that draws various types of factors of production in different amounts from the economy, and converts them into desirable output(s), through a process with the help of suitable technology. Every business has some objective, which provides the framework for all the functions, strategies and managerial decisions of that business.

I. Maximization Theories

1. Profit Maximization :Theory Objective of business is generation of the largest amount of Profit = (Total Revenue-Total Cost). Traditionally, efficiency of a firm measured in terms of its profit generating capacity Criticism

Confusion on period of time

Confusion on measure of profit

Validity questioned in competitive markets

2. Baumol's Theory of Sales Revenue Maximization In competitive markets firms aim at maximizing revenue through maximization of sales. Dichotomy of managers' goals and owners' goals □ Sales volumes determine market leadership in competition. Manager's salary and other benefits linked with sales volumes, rather than profits. Managers attach their personal prestige to the company's revenue or sales. Managers maximize firm's total revenue, instead of profits.

Criticism

Insufficient empirical evidence

3. Marris' Hypothesis of Maximization of Growth Rate

Two sets of goals: Owners (shareholders) aim at profits and market share (U_o)

Managers aim at better salary, job security and growth (U_m)

Both achieved by maximizing balanced growth of the firm $G = GD = GC$

Growth rate of demand for the firm's products (GD) and

Growth rate of capital supply to the firm (GC)

Constraints in the objective of maximization of balanced growth:

Managerial Constraint: Non availability of managerial skill sets in required size

creates constraints for growth

Financial Constraint: debt equity ratio (r1), liquidity ratio (r2) and retained profit ratio (r3)

II Behavioral Theories

1. Simon's Satisfying Model

Biggest challenge before modern businesses is lack of full information and uncertainty about future. The objective of maximizing either profit, or sales, or growth is not possible. The firm has to operate under "bounded rationality". they act as constraints to rational decision making. Can only aim at achieving a satisfactory level of profit, sales and growth.

2. Model by Cyert and March The firm should be oriented towards multi goals and multi decision making instead of dealing with inadequate information and uncertainty. The firm should fulfill the conflicting goals of various stakeholders, such as shareholders, employees, customers, financiers, govt and other social interest groups.

3.Types of Business Entity

There are various forms of business entities

1. Private Ltd Company
2. Public Ltd Company
3. Unlimited Company
4. Sole proprietorship
5. Joint Hindu Family business
6. Partnership
7. Cooperatives
8. Limited Liability Partnership(LLP)

1. Private Ltd Company

A private company has the following features:

1. Restricts the right of the shareholders to transfer their shares.
2. Has a minimum of 2 and maximum of 50 members.
3. does not invite public to subscribe to its share capital
4. Must have a minimum paid up capital of Rs. 1 lakh or such a higher amount which may be prescribed from time to time.

2. Public Ltd Company:

A public Ltd company has the following characteristics:

1. It allows the shareholders to transfer their shares.
2. Has a minimum of 7 members, and for maximum there is no limit.
3. it invites the general public to subscribe to its shares

4. Must have a minimum paid up capital of Rs 5 lakh or such a higher amount as may be prescribed from time to time.

3. Unlimited Company

Unlimited Company is a form of business organization under which the liability of all its members is unlimited. The personal assets of the members can be used to settle the debts. It can at any time re-register as a limited company under section 32 of the Companies Act.

4. Sole proprietorship

Sole proprietorship is a form of business entity where a single individual handles the entire business organization. He is the sole recipient of all profits and bearer of all losses. There is no separate law that governs sole proprietorship.

5. Joint Hindu Family

Joint Hindu Family is a form of business organization wherein the members of a family can only own and manage the business. It is governed by Hindu Law.

6. Partnership

Partnership is “the relation between persons who have agreed to share the profits of the business carried on by all or any one of them acting for all”. It is governed by the Indian Partnership Act 1932.

7. Co-operatives

Co-operatives is a form of voluntary organization, wherein the members work together for the promotion of the interests of its members. There is no restriction to the entry or exit of any member. It is governed by Cooperative Societies Act 1912.

8. Limited Liability Partnership

Under LLP (Limited Liability Partnership) the liability of at least one member is unlimited whereas rest all the other members have limited liability, limited to the extent of their contribution in the LLP. Unlike general partnership this kind of partnership does not get terminated by the death or insolvency of the limited partners. It is governed by Limited Liability Partnership Act of 2008.

4.Limited Liabilities Company

Limited Liability Companies (LLCs)

◆ Definition:

A **Limited Liability Company (LLC)** is a type of business structure where the **liability of the owners (shareholders) is limited** to the amount they invested in the company. It is a **separate legal entity** from its owners and governed under the **Companies Act, 2013 (India)**.

◆ Features of Limited Liability Company:

1. **Separate Legal Entity** – The company can own assets, sue and be sued.
 2. **Limited Liability** – Shareholders are not personally liable for company debts.
 3. **Perpetual Succession** – The company continues even if owners change.
 4. **Transferability of Shares** – Shares can be transferred (especially in public companies).
 5. **Common Seal** – Acts as the company's official signature (now optional).
 6. **Governed by law** – Registered and regulated under Company Law.
-

◆ Types of Limited Liability Companies:

1. **Private Limited Company (Pvt. Ltd.)**
 - Minimum 2 and maximum 200 members.
 - Shares not traded publicly.
2. **Public Limited Company (Ltd.)**
 - Minimum 7 members, no upper limit.
 - Can raise capital from the public.

5.Source of Capital for Company

Sources of Capital for a Company

◆ Definition:

Capital refers to the **money or funds required** to start, operate, and expand a business. Companies raise capital from various **internal and external sources**, classified based on **ownership and time duration**.

✓ 1. Owned Capital (Equity Capital)

Raised by **owners/shareholders**.

Source	Description
Equity Shares	Permanent capital; shareholders get dividends and voting rights.
Preference Shares	Fixed dividend; no voting rights; preference over equity in payments.
Retained Earnings	Profit reinvested into the business instead of distributing to shareholders.

✓ 2. Borrowed Capital (Debt Capital)

Funds borrowed from outsiders.

Source	Description
Debentures	Long-term debt instruments; fixed interest; no ownership.
Bank Loans	Medium/long-term loans from commercial banks.
Public Deposits	Direct deposits from the public at fixed interest rates.
Trade Credit	Short-term credit from suppliers.

✓ 3. Other Sources

Source	Description
Lease Financing	Using assets without ownership by paying rent.

Source	Description
Venture Capital	Funding by investors in high-risk startups.
Angel Investors	Wealthy individuals investing in startups.
Government Grants/Subsidies	For specific sectors or regions.

6.Non-Conversion source of Finance

The different types of alternative sources of finance are listed as below:

1. Leasing
2. Franchising
3. Forfeiting
4. Peer-to-peer Platform
5. Crowdfunding
6. Angel Investors
7. Venture Capitalists

1.Leasing

1. A lease is defined as an agreement between the lessor (owner of the asset) and the lessee (user of the asset), wherein, the lessor purchases an asset for the lessee and allows him to use it in exchange of periodic payments called lease rentals or minimum lease payments (MLP).
2. The lessee is bound to pay the lease rental to the lessor for the use of the assets. After the end of the period of the contract, the asset is transferred back to the lessor.
3. It refers to the renting of an asset for a certain period of time.
4. Parties involved include lease broker, lessor, lessee, and the lease assets.

2.Franchising

1. Franchising is the model in which the Company that does not have enough capital to expand, gives its franchise rights to an individual or a company.
2. The company giving rights is called 'franchisor' while the company being given the franchise is called 'franchisee'.
3. It is an arrangement where one party grants or licenses some rights and authorities to another party.
4. Franchising is a well-known marketing strategy to expand the business.

Types of Franchise:

1. Product franchise: An agreement where manufacturers allow retailers to distribute their products and use names and trademarks.
2. Business format franchise: An agreement in which the franchisor provides the franchisee with an established business, including name and trademarks for the franchisee to run independently.
3. Management franchise: The franchisee provides the management expertise, format and/ or procedure for conducting the business.

3. Forfeiting

1. It is a form of financing of receivables arising out of international business. Wherein, a bank or financial institution undertakes the purchase of trade bills or promissory notes without recourse to the seller.
2. Purchases are made through discounting of the documents, hence covering the entire risk of payment failure at the time of collection.
3. All risks become the full responsibility of the purchase
4. Forfeiture pays cash to the seller after the discounting of the said notes or bills.

4. Peer-to-peer (P2P) Lending

1. Peer-to-peer lending is a form of direct lending of money to businesses or individuals without any official participation of any financial institution as an intermediary in the agreement
2. It is generally done through online platforms that relate lenders with potential borrowers
3. Peer-to-peer lending offers both secured and unsecured loans. However, most of the loans are unsecured personal loans. Secured loans are an exception and are usually backed by luxury goods.

Services provided by P2P Platforms:

1. Finding new lenders and borrowers
2. Verification of borrower identity, bank account, income, and employment history

3. Legal compliance and reporting
4. Performing borrower credit checks and sorting out the unqualified ones
5. Servicing loans, providing customer service to borrowers, and attempting to collect payments from borrowers who are in default

5.Crowdfunding

1. It is the practice of funding a project by raising money from a large group of people.
2. It is a way of raising capital using the social networking sites like Facebook or Twitter or by using some popular crowdfunding websites
3. Crowdfunding helps improve the presence of small businesses and startups across social media, it increases their investment base, and funding prospects.
4. Various types of crowdfunding include debt-based, equity-based, cause-based, rewards-based, software value token, litigation, etc.

6.Venture Capital

1. It refers to that capital and knowledge which are given for the formation and setting up of companies, especially to those who possess any new methodologies or technology.
2. It is not merely a way of acquiring funds into a new firm but also a parallel support of the skills required to set up the firm, devising its marketing strategy, organizing, and its management as well.

7.Angel Investors

1. They are an individual or a group of individuals who invest their own money
2. They invest in the early stages of the company and in return opt for a share in the company
3. Angel investors typically invest less money than the venture capitalists
4. They are not involved much in the functions and management of the company. However, they may advise and ask for reports and status.

Economics

7. Significance of Economics

Significance of Economics

◆ Definition:

Economics is the **study of how individuals, businesses, and governments make choices** about using **scarce resources** to satisfy **unlimited wants**.

◆ Importance / Significance of Economics:

1. **Optimal Use of Resources**
 - Helps allocate scarce resources efficiently.
2. **Understanding Market Mechanisms**
 - Explains demand, supply, pricing, and competition.
3. **Decision-Making Tool**
 - Aids businesses in **production, cost control, investment**.
4. **Policy Formulation**
 - Governments use economic principles to frame budgets, taxes, and welfare schemes.
5. **Economic Development**
 - Promotes growth by improving planning and allocation.
6. **Global Trade Understanding**
 - Helps analyze **international trade, exchange rates, and globalization**.

Types of Economic

Micro and Macro Economics

◆ 1. Micro Economics

Definition:

Microeconomics deals with **individual units** like consumers, firms, and individual markets.

◆ Key Concepts of Microeconomics:

Concept	Explanation
Demand & Supply	Determines price and quantity in a market.
Elasticity	Sensitivity of demand to changes in price or income.
Utility Analysis	Consumer satisfaction and choices.
Cost & Revenue	Cost behavior and income of firms.
Market Structures	Perfect competition, monopoly, oligopoly, monopolistic competition.
Price Determination	How equilibrium price is set by demand and supply.

◆ 2. Macro Economics

Definition:

Macroeconomics studies the economy **as a whole**, focusing on **aggregates** like national income, employment, inflation, etc.

◆ Key Concepts of Macroeconomics:

Concept	Explanation
National Income	Total income earned by a country's citizens.
GDP, GNP	Measures of a country's economic performance.
Inflation	Rise in general price levels.

Concept	Explanation
Unemployment	Percentage of the labor force that is jobless.
Monetary & Fiscal Policy	Tools to control money supply and government spending.
Economic Growth	Increase in a country's output over time.

 Comparison: Micro vs Macro Economics

Feature	Microeconomics	Macroeconomics
Focus	Individual units	Entire economy
Examples	Price of one product, wage of one worker	National income, inflation
Tools Used	Demand & supply	GDP, fiscal policy
Nature	Partial analysis	Aggregated analysis

8.National Income

National Income: NI is the money value of all the final goods and services produced by a country during a period of one year. NI consists of a collection of different types of goods and services. Since these goods are measured in different physical units (i.e. kgs, litres, metres). we can't state national income in terms of kgs, litres, metres. so it has common measure i.e. called money value.

The important concepts of national income are:

1. Gross Domestic Product (GDP)
2. Gross National Product (GNP)
3. Net National Product (NNP) at Market Price
4. Net National Product (NNP) at Factor Cost or National Income
5. Personal Income
6. Disposable Income

1. Gross Domestic Product (GDP): Gross Domestic Product (GDP) is the total market value of all final goods and services produced within the domestic territory of a country in a year.

$GDP = P \times Q$; P=price of goods and services= Quantity of goods and services.

GDP indicate economic wealth of a country as well as standard living of the residence.

2. Net Domestic Product (NDP): Production of goods and services involves consumption or reduction in value of assets is called depreciation.

$$NDP = GDP - \text{depreciation}$$

3. Gross National Product (GNP): GNP refers to market value of all final goods and services produced by residence of a country within and outside its border.

- **$GNP = GDP (+) \text{ Income earned by India from abroad (NFIA) } (-) \text{ Income earned by foreigners in India.}$**

4. Net National Product (NNP) at Market Price: NNP is the market value of all final goods and services after providing for depreciation. That is, when charges for depreciation are deducted from the GNP we get NNP at market price. Therefore'

$$\text{NNP} = \text{GNP} - \text{Depreciation}$$

Depreciation is the consumption of fixed capital or fall in the value of fixed capital due to wear and tear.

5. Personal Income: Personal income is the sum of all incomes actually received by all individuals or households during a given year. In National Income there are some income, which is earned but not actually received by households such as Social Security contributions, corporate income taxes and undistributed profits. On the other hand there are income (transfer payment), which is received but not currently earned such as old age pensions, unemployment doles, relief payments, etc. Thus, in moving from national income to personal income we must subtract the incomes earned but not received and add incomes received but not currently earned. Therefore,

$$\text{Personal Income} = \text{National Income} - \text{Social Security contributions} - \text{corporate income taxes} - \text{undistributed corporate profits} + \text{transfer payments.}$$

6. Disposable Income: From personal income if we deduct personal taxes like income taxes, personal property taxes etc. what remains is called disposable income. Thus,

$$\text{Disposable Income} = \text{Personal income} - \text{personal taxes.}$$

Disposable Income can either be consumed or saved. Therefore,

$$\text{Disposable Income} = \text{consumption} + \text{saving.}$$

➤ Importance of National Income

1. Since income is a flow of wealth changes in the national income give some indication of economic welfare.
2. National income is used to compare standards of living in different countries.
3. National income figures are used to measure the rate of growth of a country.
4. The national income accounts make it possible for an analysis of the behavior of the different sectors of the economy.
5. Inflationary and deflationary pressures can be estimated with the help of national income statistics.
- 6 National income statistics can be used to forecast the level of business activity at later date, and to find out trends in other annual data.
7. The national income figures are useful in providing a correct sense of proportion about the structure of the economy.

9. Inflation

➤ **Inflation:** is the sustained increase in the general price level of goods and services in an economy over a period. Inflation will lead to an overall increase in the prices of goods. Inflation is measured as an annual change to the percentage of increase in prices of goods or services. Under inflation, the prices of goods increase over time and thus the ability to buy goods or services with the same amount of money will reduce. When prices rise and currencies fall, it is known as inflation.

➤ Causes of Inflation

1. Demand-Pull inflation:

According to this hypothesis. An increase in the demand for certain goods increases their prices. If the demand for a goods or services is high and their supply is less, then prices will increase. This happens when economies are growing fast.

2. Cost-Push Inflation:

The hypotheses states that inflation happens under the circumstances that the production costs of the company manufacturing the goods rises and therefore leading to an increase in the prices of the goods.

3. Monetary inflation:

According to the theory, inflation is caused when there is an increased supply of cash or money in the economy.

Inflation and Money Supply

The money supply is the total amount of money in an economy, including currency and deposit money. The money supply can affect inflation, which is the rate at which the average price of goods and services increases over time. According to the quantity theory of money, inflation occurs when the money supply increases faster than the economy's output

- **M1 (Narrow Money):** Currency with the public + Deposit money of the public (Demand deposits with the banking system + 'Other' deposits with the RBI).

- **M2:** M1 + Savings deposits with Post office savings banks.
- **M3 (Broad Money):** M1+ Time deposits with the banking system = Net bank credit to the Government + Bank credit to the commercial sector + Net foreign exchange assets of the banking sector + Government's currency liabilities to the public – Net non-monetary liabilities of the banking sector (Other than Time Deposits).
- **M4 (Broad Money):** M3 + All deposits with post office savings banks (excluding National Savings Certificates).

10. Business Cycle

Business cycle: The term business cycle refers to economy wide fluctuations in production, trade and general economic activity. The business cycle is the upwards and downwards movements of levels of GDP and refers to the period of expansion and contraction in the level of economic activities around a long term growth trends.

➤ Features of Trade Cycle

The characteristics or features of trade cycle are:-

- **Movement in Economic Activity:** A trade cycle is a wave-like movement in economic activity showing an upward trend and a downward trend in the economy.
- **Periodical:** Trade cycles occur periodically but they do not show the same regularity.
- **Different Phases:** Trade cycles have different phases such as Prosperity, Recession, Depression and Recovery.
- **Different Types:** There are minor and major trade cycles. Minor trade cycles operate for 3-4 years, while major trade cycles operate for 4-8 years or more. Though trade cycles differ in timing, they have a common pattern of sequential phases.
- **Duration:** The duration of trade cycles may vary from a minimum of 2 years to a maximum of 12 years.
- **Dynamic:** Business cycles cause changes in all sectors of the economy. Fluctuations occur not only in production and income but also in other variables like employment, investment, consumption, rate of interest, price level, etc.
- **Phases are Cumulative:** Expansion and contraction in a trade cycle are cumulative, in effect, i.e. increasing or decreasing progressively.
- **Uncertainty to businessmen:** There is uncertainty in the economy,

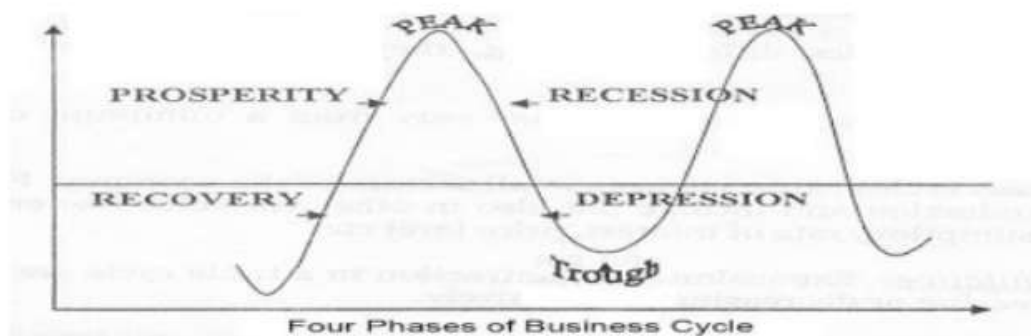
especially for the businessmen as profits fluctuate more than any other type of income.

- International Nature: Trade Cycles are international in character. For e.g. Great Depression of 1930s.

➤ Four Phases of Business Cycle

Business Cycle (or Trade Cycle) is divided into the following four phases:-

1. Prosperity Phase: Expansion or Boom or Upswing of economy.
2. Recession Phase: from prosperity to recession (upper turning point).
3. Depression Phase: Contraction or Downswing of economy.
4. Recovery Phase: from depression to prosperity (lower turning Point).
5. Expansion: Also known as a boom or upswing, this phase is when the economy expands.



The business cycle starts from a trough (lower point) and passes through a recovery phase followed by a period of expansion (upper turning point) and prosperity. After the peak point is reached there is a declining phase of recession followed by a depression. Again the business cycle continues similarly with ups and downs.

1. Prosperity Phase: When there is an expansion of output, income, employment, prices and profits, there is also a rise in the standard of living. This period is termed as Prosperity phase.

The features of prosperity are:-

- High level of output and trade.
- High level of effective demand.
- High level of income and employment.
- Rising interest rates.
- Inflation.
- Large expansion of bank credit.
- Overall business optimism.
- A high level of MEC (Marginal efficiency of capital) and investment.

Due to full employment of resources, the level of production is Maximum and there is a rise in GNP (Gross National Product). Due to a high level of economic activity, it causes a rise in prices and profits. There is an upswing in the economic activity and economy reaches its Peak. This is also called as a Boom Period.

2. Recession Phase: The turning point from prosperity to depression is termed as Recession Phase. During a recession period, the economic activities slow down. When demand starts falling, the overproduction and future investment plans are also given up. There is a steady decline in the output, income, employment, prices and profits. The businessmen lose confidence and become pessimistic (Negative). It reduces investment. The banks and the people try to get greater liquidity, so credit also contracts. Expansion of business stops, stock market falls. Orders are cancelled and

people start losing their jobs. The increase in unemployment causes a sharp decline in income and aggregate demand. Generally, recession lasts for a short period.

3. Depression Phase: When there is a continuous decrease of output, income, employment, prices and profits, there is a fall in the standard of living and depression sets in.

The features of depression are:-

- Fall in volume of output and trade.
- Fall in income and rise in unemployment.
- Decline in consumption and demand.
- Fall in interest rate.
- Deflation.
- Contraction of bank credit.
- Overall business pessimism.
- Fall in MEC (Marginal efficiency of capital) and investment.

4. Recovery Phase: The turning point from depression to expansion is termed as Recovery or Revival Phase. During the period of revival or recovery, there are expansions and rise in economic activities. When demand starts rising, production increases and this causes an increase in investment. There is a steady rise in output, income, employment, prices and profits. The businessmen gain confidence and become optimistic (Positive). This increases investments. The stimulation of investment brings about the revival or recovery of the economy. The banks expand credit, business expansion takes place and stock markets are activated. There is an increase in employment, production, income and aggregate demand, prices and profits start rising, and business expands. Revival slowly emerges into prosperity, and the business cycle is repeated.

Thus we see that, during the expansionary or prosperity phase, there is inflation and during the contraction or depression phase, there is a deflation.

5. Expansion and Boom: The various characteristics of economy in its expansion phase are increase in output, increase in investment, increase in employment, increase in aggregate demand, and increase in sales, increase in profits, increase in wholesale and retail prices, increase in per capita output and rise in standard of living. There is

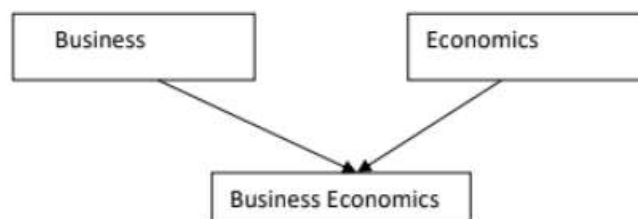
absence of involuntary unemployment but structural and frictional unemployment prevails in the economy.

11. Business Economics

➤ Business Economics

Introduction: Business Economics is playing an important role in our daily economic life and business practices. Manager of business firm uses the economic thoughts and concepts to solve the problems prevailing in business activities. Everyday business manager has to face different problems, while running the business. They would be solved with the help of economic theories.

Managerial Economics was formerly known as "Business Economics." It is also called as "Applied Economics". The world Business Economics is formed from the two worlds Business and Economics.



Definition: 'McNair and Meriam' defined it as "Managerial Economics consists of the use of Economic modes of thought to analyze business situations.

Applications

1. Use of optimum techniques to improve organizational decisions
2. Understanding individual and market demand decisions to forecast demand
3. Understanding markets
4. Analyze cost and supply structure to understand supply decisions
4. Understanding external factors like unemployment, inflation.

Characteristics of Business Economics

1. Close to microeconomics:
2. Operates against the backdrop of macroeconomics:7
3. Normative statements:
4. Prescriptive actions:
5. Applied in nature:

Scope of Business Economics

1.Demand Analysis

2.Theory of production

3.Cost Analysis

4.Pricing Theories

5.Theory of profit

6.Resource Allocation

7.capital Investment Analysis

8.Inventory management

12.Roles of Business Economist

◆ Who is a Business Economist?

A **Business Economist** applies **economic theories and concepts** to real-world business problems to support **decision-making, forecasting, and strategic planning**.

✓ Roles and Responsibilities:

1. **Demand Forecasting**
 - Predicting future sales using tools like trend analysis, regression, etc.
2. **Cost and Production Analysis**
 - Identifying cost-saving methods and optimizing production levels.
3. **Pricing Decisions**
 - Suggests pricing strategies using demand elasticity and market competition.
4. **Profit Planning and Management**
 - Helps maximize profits through marginal and cost-benefit analysis.
5. **Market Structure Analysis**
 - Analyzing market types (monopoly, oligopoly, etc.) to decide entry or exit strategies.
6. **Economic Environment Analysis**
 - Studying government policies, taxation, inflation, and international trade impacts.
7. **Risk and Uncertainty Analysis**
 - Uses economic tools to deal with uncertain future events affecting business.
8. **Policy Framing**
 - Assists top-level management in framing business, pricing, and investment policies.
9. **Resource Allocation**
 - Guides how to allocate resources effectively using optimization techniques.

13.Multi-disciplinary need of Business Economics

◆ Definition:

Business Economics is **interdisciplinary in nature**, as it draws concepts from various fields to solve business problems efficiently.

✓ How Business Economics is Multidisciplinary:

Discipline	Contribution to Business Economics
Economics	Provides fundamental theories like demand, supply, cost, production, etc.
Statistics	Helps in data collection, forecasting, and decision-making.
Mathematics	Used for optimization, profit maximization, and cost minimization.
Accounting	Provides financial data for economic analysis and budgeting.
Finance	Helps in investment decisions, capital budgeting, and risk analysis.
Operations Research	Provides models for efficient production, logistics, and inventory management.
Marketing	Guides in analyzing consumer behavior, pricing strategies, and market competition.
Management	Assists in organizational planning, control, and strategic decision-making.

